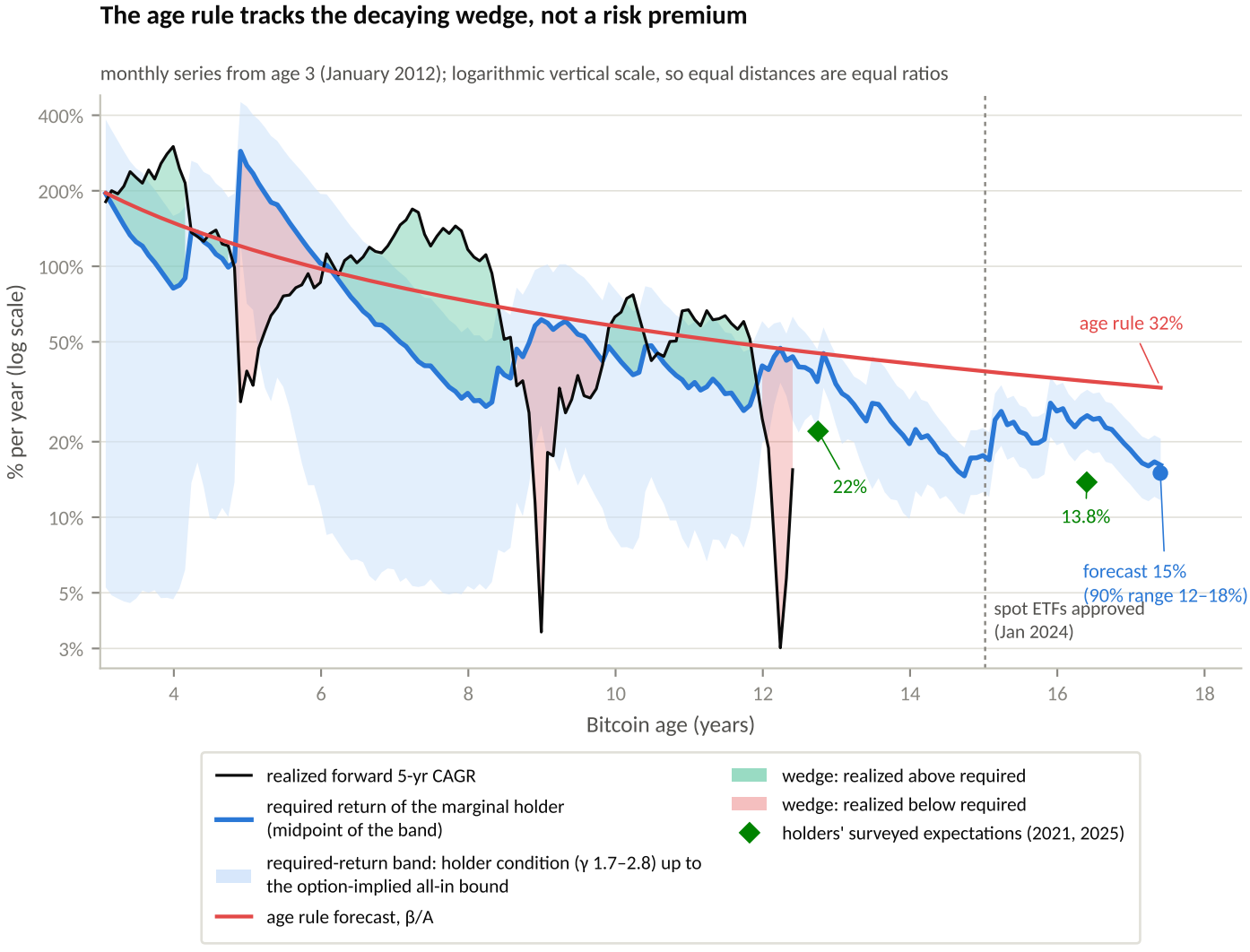
The age rule tracks the decaying wedge, not a risk premium
monthly series from age 3 (January 2012); logarithmic vertical scale, so equal distances are equal ratios
400%
200%
100%
50%
20%
10%
5%
3%
% per year (log scale)
4
6
8
10
12
14
16
18
Bitcoin age (years)
age rule 32%
22%
13.8%
forecast 15%
(90% range 12–18%)
spot ETFs approved
(Jan 2024)
realized forward 5-yr CAGR
required return of the marginal holder
(midpoint of the band)
required-return band: holder condition (γ 1.7–2.8) up to
the option-implied all-in bound
age rule forecast, β/A
wedge: realized above required
wedge: realized below required
holders' surveyed expectations (2021, 2025)